

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 2

PAPER 02

SPECIMEN PAPER

2 ½ hours

INSTRUCTIONS TO CANDIDATES

1. This paper consists **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from each section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**

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SECTION A

MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

1. Bucky is a company which produces sugar for the local and international market. The owners of Bucky believe that it can still compete with the best sugar producers in the world, even when it loses preferential treatment in the European market. They plan to introduce Total Quality Management (TQM) in the company's operations within a month.

- (a) Define the concept of 'customer' as it relates to TQM and state TWO ways in which this concept can be used at Bucky. (4 marks)
- (b) Discuss FOUR common TQM techniques that Bucky can use to enhance its competitiveness in the international sugar market. (12 marks)
- (c) Discuss THREE ways in which poor quality can affect Bucky. (9 marks)

Total 25 marks

2. The following information relates to a firm which manufactures and sells widgets.

Selling Price	\$100 each
Variable cost	\$15 per unit
Total fixed cost	\$3400

- (a) Using the sales level of 100 units, calculate the following:
- (i) Contribution per unit (2 marks)
- (ii) Total cost (3 marks)
- (iii) Total profits using marginal costing format (3 marks)
- (b) (i) With the use of a labelled diagram, illustrate the breakeven point of the firm. (5 marks)
- (ii) Determine the
- a) number of units and (2 marks)
- b) amount of sales that are required for the firm to break even. (2 marks)
- (iii) On the same diagram, in (b)(i) above, indicate the margin of safety. State the importance of knowing the margin of safety (2 marks)
- (c) The firm is considering purchasing the widgets at \$30 each instead of manufacturing them but the factory will remain idle.
- (i) Advise the firm as to a course of action. (4 marks)
- (ii) State TWO non-accounting factors which the firm must take into consideration when making its decision. (2 marks)

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Total 25 marks

SECTION B**MODULE 2: FUNDAMENTALS OF MARKETING****Answer ONE question from this section.**

3. On Birds' Isle, on account of the high duty on new motor vehicles and used motor vehicles less than five years old, most people who can afford it, buy used or refurbished vehicles aged five years or more. Trans Island Motor (TIM) is one of a few retailers of 'hard to find' spare parts for used motor vehicles. TIM has a large share of this market segment.

- (a) (i) Explain how EACH of the following concepts may be used to evaluate the marketing function:

- a) The product concept
- b) The sale concept
- c) The marketing concept

(6 marks)

- (ii) Outline TWO reasons why the marketing concept is the BEST approach for TIM.

(4 marks)

- (b) Discuss THREE factors in market conditions that the marketing manager of TIM needs to consider when seeking to secure a competitive advantage in the market place.

(9 marks)

- (c) Discuss TWO capabilities in the firm that the marketing manager of TIM needs to consider when seeking to secure a competitive advantage in the market place.

(6 marks)**Total 25 marks**

4. Research Inc. is a small research agency. It wants to conduct a survey to find out peoples' views of the community on 'car pooling'. The company must complete the research in six weeks using a limited budget. It has decided to use sampling to select the respondents for the survey.

- (a) (i) Define the term 'sampling' and state TWO reasons for sampling.

(4 marks)

- (ii) Distinguish between 'probability sampling' and 'non-probability sampling'.

(4 marks)

- (b) Define the terms 'convenience sampling' and 'systematic random sampling', explaining how EACH might be used to select respondents.

(12 marks)

- (c) Indicate which of the two types of sampling in (b) above should be used by research Inc.. Justify your choice.

(5 marks)**Total 25 marks**

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SECTION C

MODULE 3: SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

5. (a) (i) Distinguish between a sole trader and a private limited company. (4 marks)
- (ii) Outline TWO advantages and TWO disadvantages of a private limited company compared to a sole trader. (8 marks)
- (b) Discuss THREE ways in which a change in the economic system of the country from a mixed economy to a planned economy could affect a sole trader's decision to form a private limited company. (13 marks)

Total 25 marks

6. Ruby Lowe, an entrepreneur, has started a sole trader business specializing in janitorial services. She started the business with her own savings and she did not have a formal business plan. As her business expands, and according to the needs of her situation, she employs more persons to work for her. She does her own hiring, accounting and marketing. Her business is barely paying for itself.
- (a) Define the term 'business plan'. (3 marks)
- (b) Outline THREE reasons why Ruby should have a business plan. (6 marks)
- (c) Identify FOUR key elements that Ruby should include in her business plan, justifying the importance of EACH. (16 marks)

Total 25 marks

END OF TEST